

# The price of remembering cheaply: $O(n)$ -exact vs $O(1)$ -lossy memory

Topic: Key-Value Caching, Limitations, and Alternate Approaches · Artifact: mbahc25088.github.io/IITKGP · Repo: github.com/mbahc25088/IITKGP

**OUR FALSIFIABLE CLAIM**  
Transformer KV-cache grows one slot per token —  $O(n)$ , always exact. Fixed recurrent state stays  $O(1)$  but silently forgets when writes collide. Flood 500 pairs into 16 slots: if recall stays perfect, we lose.

**Why now.** Long context made exactness unaffordable: every new token attends over all old tokens. Linear attention, SSMs, and recurrent states collapse the cache to a fixed matrix updated incrementally —  $O(T)$  compute,  $O(1)$  memory — at the cost of interference between non-orthogonal keys.

## WHAT CHANGES, TECHNICALLY

Per-token slots become an additive state (BDH-CQ notes the case where state accumulates additively per demonstration). Our toy: cabinet = Map per pair; whiteboard = slot = hash % N, last-writer-wins. At 120/32 collisions already bite; 500→16 craters recall while KV stays 100% and its slot-line climbs against the flat  $O(1)$  line. Clicking a yellow cell names the thieves — the gap is the lesson.

## LANDSCAPE — WHO PAYS WHAT

| Family         | Memory                                                | Recall       | Bill                 | Signal                |
|----------------|-------------------------------------------------------|--------------|----------------------|-----------------------|
| Transformer KV | $O(n)$                                                | perfect      | $O(T^2)$ , OOMs      | gold standard         |
| Mamba SSM '24  | $O(1)$ gated                                          | lossy far    | cheap                | throughput            |
| HOLA '26       | $O(1)$ +cache                                         | recovered    | cheap+cache          | surprise $\beta  e  $ |
| BDH / CQ       | <b><math>O(1)</math> synaptic <math>p, S_t</math></b> | sags w/ load | lowest \$/task shown | memory=reasoning      |

## BDH, PLAINLY

**BDH** (Dragon Hatchling) is the  $O(1)$ -by-design case: synaptic state via Hebbian writes, not drawers —  $\rho_{t-1} = \sum v^* x^T U^{t-\tau}$  (Eq.5; §3.2, Hebbian 6–8). BDH-GPU = ReLU low-rank + linear attention, **not** a Mamba SSM. **BDH-CQ** is the sibling Pareto point: 150M, 29.5% pass@2 ARC-AGI-1 @ ~\$0.0007/task, latent recurrence with no chain-of-thought.

**Evidence, labeled.** 134M BDH: 95%@32K → 82%@128K BABILong QA1–QA5 (pathway.com; vendor-reported, pending contamination/independent/leaderboard review). Same sag as the toy, at scale.

**Cost evidence.** BDH-CQ ~11× cheaper/task than GPT-5.6 Luna Low (34.2% vs 29.5%) in Pathway’s table — one self-reported benchmark, weights unreleased; Pareto claim, not raw SOTA.

## LIMITATION THAT MATTERS

Forgetting is **silent** (no validity flag), and session adaptation ( $S_t$  updates) ≠ durable learning — fast-to-slow consolidation is open. Toy uses hash collisions; real interference is superposition along shared key directions — same shape, simpler mechanism, disclosed. Next: BDH App.E toy code, HOLA §2–3, Equations of Reasoning blog.

Sources: [1] Kosowski et al. arXiv:2509.26507 (BDH, 2025) [2] Engdahl et al. arXiv:2608.09888 (BDH-CQ, 2026) [3] Cui arXiv:2607.02303 (HOLA, 2026) [4] Gu & Dao Mamba (2024). Toy = team-written, MIT, not official BDH. AI-assisted (Muse Spark); team defends all of it. Cloud 9 · IIT KGP.